PIA3123 Theories of Development — Week 2: Modernization and Dependency

1. Course Framing: Basic Terms and Why They Matter

Keywords: vocabulary, labels, interventions, contested, paradigms, Cold War legacy

Lecture roadmap (slide 2): (1) Basic Terms → (2) Modernization theory → (3) Dependency theory → (4) Break → (5) Discussion → (6) Conclusion.

- Week 1 taught that "development" is contested; Week 2 supplies the two founding paradigms of the field and the vocabulary they produced.
- **The vocabulary is not neutral** — the label assigned to a country determines what is diagnosed as wrong and what remedy is prescribed.

1.1 Three Pairs of Terms (slides 3–6)

Keywords: First/Second/Third World, developed/developing, Global North/South, overlapping but non-identical

- **Pair 1 — First / Second / Third World (slides 3–4):** a Cold War *political* classification, not an economic one.
    - First World = industrialised capitalist bloc led by the United States, organised materially through programmes like the Marshall Plan ("For European Recovery, supplied by the United States of America").
    - Second World = the Soviet bloc (hammer-and-sickle), the socialist alternative.
    - Third World = everyone else — the non-aligned and newly independent, defined by *not* being in either camp.
- **Pair 2 — Developed / Developing Countries (slide 5):** an *income* classification, replacing the political one. Built on bands: high income, upper middle income, lower middle income, low income.
    - Regional distribution is uneven: Europe & Central Asia and Latin America & Caribbean weight toward high/upper-middle income; South Asia and Sub-Saharan Africa toward lower-middle and low income.
    - Official sub-category: Least Developed Countries (LDCs) — 46 countries: Africa 33, Asia 8, Caribbean 1, Pacific 3. See more: Farias (2019).
- **Pair 3 — Global North / Global South (slide 6):** *geographical-sounding but political*. The slide map codes three tiers: advanced economies; emerging and developing economies (not least developed); emerging and developing economies (least developed).

- Not literally hemispheric: Australia and New Zealand sit in the "North"; Africa, South Asia and most of Latin America in the "South".

→ **Exam point (memorise):** the three pairs answer different questions — *which bloc?* (1), *what income?* (2), *what structural position in the world economy?* (3). The third is the conceptual ancestor of Dependency Theory.

1.2 Underdevelopment as a Contested Concept (slide 7)

Keywords: implicit definitions, policy consequences, diagnostic power, labelling

- Underdevelopment — a fundamental concept in development studies; in contemporary discourse nations and regions are frequently labelled "underdeveloped", yet the exact definition of the term is frequently left implicit.
- Why this matters: the assigned status significantly influences the types of interventions and remedies pursued. Calling a country "underdeveloped" licenses a specific set of policies — aid, structural reform, "catching up".
- *Example:* calling South Korea in 1960 "underdeveloped" implies a timetable (it will develop); calling it "structurally dependent" implies a relation to be broken. Same country, opposite remedy.
- Quiz 1 angle: the definition you adopt is a theoretical commitment, not a neutral description.

2. The Cold War Context of Modernization Theory (slide 11)

Keywords: decolonisation, superpower competition, aid as instrument, which path?

- After World War II, many countries in Asia and Africa gained independence. The US and the Soviet Union competed for influence in these newly independent states.
- Rostow and other modernization theorists argued that **economic growth, industrialisation, education and institutional change** could move poorer societies toward "modern" development.
- Development aid therefore became connected to a broader Cold War question: which path to development would newly independent countries follow — the capitalist or the socialist one?
- → **Modernization Theory was born as an explicitly political project as much as an analytical one**; the readings title — Rostow's *A Non-Communist Manifesto* — announces this directly.

2.1 The Motivating Puzzle: South Korea (slides 9–10)

Keywords: rapid transformation, few generations, non-replication, counterfactual

- Pre-video prompt: if South Korea can transform so dramatically within a few generations, why haven't all countries followed the same path?
- Discussion question: *how did South Korea change as it became wealthier? What made this transformation possible?*

- The puzzle is double-edged:
    - For modernization theory, South Korea is the **poster case** of staged catch-up.
    - For dependency theory, South Korea is the **anomaly** — a periphery that escaped the trap.
- → Hold this case; it returns in the quiz prompt (slide 39) and is the cleanest test of both paradigms.

3. Modernization Theory: Core Commitments (slide 12)

Keywords: progress, evolutionary, tradition as block, imitation, foreign assistance, multi-sector

Six defining claims (slide 12 — memorise the set):

- Has **political, economic and social** components — not an economic theory alone.
- Sees development as all about progress and growth — a directional, optimistic, unilinear claim.
- **Evolutionary:** societies move through stages in a fixed order, as organisms mature.
- Sees "tradition" as a block — traditional beliefs, practices and institutions are obstacles to be cleared, not resources to be built on.
- Underdevelopment is defined as the political, economic and social differences between the rich and poor countries — a *gap* measure, not a relational one.
- Development means reduction of these differences through imitation and foreign assistance — two mechanisms: copy the leaders, and receive their help.

→ **Structural consequence:** if underdevelopment is a difference, then it is a *lag*, and the future is guaranteed to arrive. This single move is what Frank attacks.

3.1 No Single Author: Varieties of Modernization (slide 13)

Keywords: Lewis, Hoselitz, emphasis varies, dual economy, critiques

- Different authors stress different aspects of the argument. Named on the slide: Arthur Lewis, Bert Hoselitz.
- Lewis's Dual Economy model — a "traditional" agricultural sector and a "modern" industrial sector coexisting; development = transferring labour and surplus from the first to the second.
- For critiques of Lewis's dual economy and of modernization more broadly, see **Campbell (2021)** and **Li (2014)** (slide 13).
- → The paradigm is a *family* of arguments sharing the six commitments in §3, not one doctrine.

4. The Three Faces of Modernization

Keywords: political, social, economic, differentiation, integration, evolutionary universals

4.1 Political Modernization (slide 14)

Keywords: transition, representation, participation, predictability, integration, depersonalisation, mediation, moderation

- Politically, modernization theorists **did not simply promote liberal democracy** as an export — a common caricature.
- They were concerned with problems of transition — the confluence of the modern and the underdeveloped: what happens when modern institutions are grafted onto a traditional society.
- Two classic anxieties: **representation** and **participation** — how to absorb newly mobilised populations without instability. The key is to enhance predictability — order, not freedom, is the first objective.
- Required mechanisms for democracy to work: **integration, depersonalisation, mediation, moderation**.

4.2 Social Modernization: Parsons (slide 15)

Keywords: traditional → modern, evolutionary universals, survival, functionalism

- Talcott Parsons: third world societies evolve from traditional to modern societies.
- Evolutionary universals — Parsons's six features critical to evolution, which all societies were *sure to stumble upon for survival*:
    - stratification
    - cultural legitimation
    - bureaucratic organisation
    - money and market complexes
    - emergence of generalised universalistic norms
    - democratic association
- → Strong functionalist logic: what survives is what was functionally necessary. Development is a survival filter, not a choice.

4.3 Economic Modernization: Rostow (slide 16)

Keywords: 1960, crude but compelling, policy insider, schema of transition

- Walt Rostow (1960) produced a **crude but compelling** schema of economic transition — the *Stages of Economic Growth*.
- Rostow was a development thinker closely linked to policy-makers — an academic scheme that became doctrine in Washington.
- → This fusion of scholarship and policy is exactly the "development aid as Cold War instrument" point of §2.

5. Rostow's Five Stages of Economic Growth (slides 17–23)

Keywords: unilinear, stage model, take-off, mass consumption, mutually reinforcing

The schema in one line (slide 17): **0 → 1 → 2 → 3 → 4 → 5**, i.e. Traditional society → Preconditions for take-off → Take-off → Road to maturity → Age of mass consumption.

5.1 The Five Stages, Stage by Stage (slides 18–22)

Keywords: traditional society, preconditions, take-off, maturity, mass consumption

- **1. Traditional society (slide 18):** traditional agricultural practices, limited technology, and pre-modern social structures — no systematic application of science to production.
- **2. Preconditions for take-off (slide 19):** urbanisation, industrialisation, increased education; there is an increase in demand for raw materials — the extractive opening Frank reads as the origin of dependency. Typically driven by an **external** shock (foreign penetration or a state-led modernising elite).
- **3. Take-off (slide 20):** a critical turning point where a society begins to experience rapid economic growth and development; industrialisation and modern economic sectors expand — the decade(s) in which the growth rate is permanently raised.
- **4. Road to maturity (slide 21):** institutions become more sophisticated and mature; increased political stability and social mobility. Note the pairing — **economic maturity is expected to deliver political stability**, an assumption dependency theorists reject.
- **5. Age of mass consumption (slide 22):** high levels of economic development and modernization, with a focus on consumer-oriented lifestyles and high standards of living — the theorist's own society projected onto a universal teleology.

5.2 The Claim Behind the Stages (slide 23)

Keywords: mid-20th century, series of stages, multi-sector, mutually reinforcing

- Modernization Theory emerged during the mid-20th century and suggests that societies go through a series of stages of development as they modernise and progress.
- Crucially: for Rostow and other modernization theorists, development is not just about one sector (like the economy) modernizing, but about multiple, mutually reinforcing areas of society modernizing together.
- → **The load-bearing assumption:** no single sector drags the rest along; cultural, political and economic change move as a bundle. Target one and the others follow.

6. The Paradigm Comparison Table (slides 24, 35)

Keywords: three questions, who/how/why it matters, roadmap of the course, seven paradigms

The course's master comparison grid answers three questions of every paradigm: **Who needs development? How should it happen? What is the importance?** Full roster across the module (slides 24, 35): modernization; Dependency; Neo-liberalism; Developmental State; Human development; Sustainable development; Post-development.

6.1 The Modernization Column (slides 24, 35)

Keywords: Third World, mutually supportive arenas, foreign assistance, route to civilisation

- **Who needs development?** Traditional, un-industrialised societies — i.e. non-Western countries (the Third World).
- **How should it happen?** Modernise across mutually supportive arenas; foreign assistance.
- **What is the importance?** A route to civilisation; achieving higher living standards and improved material conditions; free from dictatorship.
- → Note the civilisational framing — modernization is not just growth, it is a normative destination.

6.2 The Dependency Column (slide 35)

Keywords: peripheral countries, terms of trade, ISI, delinking, class relations, surplus extraction

- **Who needs development?** Peripheral countries — a *relational* category, not a low-income one.
- **How should it happen?** Transform the relationship with the capitalist core through changes in terms of trade, import-substitution industrialisation, and delinking, as well as reshaping national class relations.
- **What is the importance?** Reduce surplus extraction and structural inequality.
- **→ One-liner: modernization asks how a country climbs the ladder; dependency asks who built the ladder and who is holding it.**

7. Dependency Theory: Context and Core Claim (slides 28–30)

Keywords: 1960s–70s, exchange not production, integration into global economy, relational system

7.1 The Context (slide 29)

Keywords: body of scholarship, decades, periphery, conditioning, unequal integration

- Like modernization theory, dependency theory is a body of scholarship that has developed over decades — not a single text. It is a body of theories **popular in the 1960s and 1970s**, the era of decolonisation and of Southern industrialisation projects.
- Founding definition, Dos Santos 1970: A situation in which the economy of certain countries is conditioned by the development and expansion of another (Dos Santos 1970, 231).
- Focus on **exchange rather than production** — the core question is about the terms on which goods and capital move.

- The problem is how the third world (or the developing countries, or the peripheries) is integrated into the global economy — the *relationship*, not the domestic attributes, is the unit of analysis.

7.2 Frank's Critique of Modernization (slide 30)

Keywords: historical product, satellite and metropole, continuing relations, no original state of poverty

- Andre Gunder Frank, from *The Development of Underdevelopment*: contemporary underdevelopment is in large part the historical product of past and continuing economic and other relations between the satellite underdeveloped and the now developed metropolitan countries (Frank 2010).
- Two decisive moves: **historical** (underdevelopment was *produced*, over centuries, not inherited) and **continuing** (the relations are still operating now — not a closed historical ledger).
- Dependency is defined as a conditioning situation within a relational system — a position in a structure, not a level of wealth.

7.3 Mechanisms of Dependency (slides 30–31)

Keywords: unequal exchange, ISI, colonialism, primitive accumulation, financial dependency

- Unequal Exchange: all trade is monopolist and controlled by the centre (or core) for its own benefit — the source of that control changes over time (gunboats, then tariffs, then credit and technology).
- The same systems work internally — dependency reproduces *within* a country, not only between countries.
- Import Substitution Industrialisation (ISI): for peripheral countries to break dependency by producing manufactured goods domestically instead of relying on imports from the core. → The policy answer follows the diagnosis: if the problem is *what you trade*, the remedy is to change what you produce.
- **The three mechanisms for making underdevelopment (slide 31)** — memorise the trio; each maps onto a successive period:
    - **Colonialism** — formal political subordination, extraction of resources and labour, imposed specialisation (formal empire).
    - **Primitive accumulation** — forcible concentration of capital and dispossession of producers that precedes capitalist accumulation (post-colonial structure).
    - **Technological and financial dependency** — dependence on the core for capital, credit and technology gives continuing leverage without formal empire (contemporary).

8. Frank's Satellite–Metropole Mechanism: Mexico (slide 32)

Keywords: chained exploitation, drain, metropolis and satellite at every level, reproduction after independence

The worked example of how dependency *works*, at two scales (slide 32):

- **Colonial period — external chain:** Colonial Mexico (satellite) fed wealth into Spain (metropole).
- **Colonial period — internal chain:** Within Mexico, mining regions were satellites drained by the capital (Mexico City).
- **The result:** Development in the "center" (Europe, Mexico City elites) came at the expense of peripheral regions.
- **Post-independence persistence:** Mexico exported cheap raw materials (silver, later oil, agricultural goods) and imported expensive manufactured goods from Europe and the U.S. → Despite independence, the structure of the economy (export-oriented, foreign-dependent, elite-controlled) reproduced dependency.

→ **Key insight (memorise):** political independence changed nothing because the *economic structure* — not the flag — carried the dependency. The satellite–metropole relation chains outward to the world city and inward to the provincial town. *Example: the same logic explains why ending colonial rule across Africa and Asia did not end the pattern of raw-material export.*

9. The Rostow–Frank Debate (slides 33, 37)

Keywords: head-to-head, catch-up vs structural unfairness, resource trap, domestic vs external diagnosis

9.1 Round 1: Why Are Some Countries Underdeveloped? (slide 33)

Keywords: early stage vs made poor, policies vs colonialism, catch up vs structurally unfair

Staged as "imagine if Rostow and Frank walk into the same room":

- **Rostow:** Underdevelopment is just an early stage of development. All countries move through the same stages. If some are still poor, it's because they haven't yet built the right system and infrastructure. With time, aid, and proper policies, they will catch up.
- **Frank:** Poor countries are poor because rich countries made them poor — through colonialism, unequal trade, and dependency. They cannot simply "catch up" by following your steps, because the system is structurally unfair to developing countries.
- **The disagreement decomposed (exam-ready):**
  - Diagnosis: **lag** (Rostow) vs **relation** (Frank).
  - Remedy: aid and correct domestic policy (Rostow) vs changing the terms of integration (Frank).

- Time: catch-up is possible given time (Rostow) vs time alone changes nothing (Frank).
- Unit: the nation-state alone (Rostow) vs the world system (Frank).

9.2 Round 2: The Resource Trap (slides 36–37)

Keywords: abundant resources, paradox, corruption vs locked-in export, domestic vs systemic

- Prompt (slide 36): If a country has abundant natural resources, how likely is it to become rich? — the paradox being that abundant resources correlate with *worse* development outcomes.
- **Rostow's answer:** It is a domestic problem! Corruption, bad governance, lack of proper investment keep resource rich countries poor. — the cause is inside the country, so the remedy is also domestic.
- **Frank's answer:** No! Resource-rich countries in the periphery are locked into exporting raw materials to the core. — the cause is structural, so domestic reform cannot solve it.
- → **The same empirical fact is the strongest evidence for both paradigms.** Whoever controls the framing of the puzzle controls the policy conclusion.

10. World Systems Theory (slide 34)

Keywords: Wallerstein, Amin, one capitalist world system, core/semi-periphery/periphery, progress = regression

- Associated with Immanuel Wallerstein and Samir Amin — dependency theory's most systematic elaboration.
- Underdevelopment disguised as poverty or an earlier stage — the developmental "waiting room" is an illusion. No Empire, no Third World — but one capitalist world system: after formal decolonisation there is no imperial centre to blame, yet the structure survives.
- A structural and systemic reading meant that progress for some meant regression for others — development is **zero-sum** at the level of the system.
- The model's three positions (diagram): **Core → Semi-Periphery → Periphery**. The core exports **high-profit consumption goods** outward; the periphery supplies **cheap labour and raw materials** inward; the **semi-periphery** sits between, exploited by the core and exploiting the periphery — the one position in which mobility is conceivable. Open question on the slide: **can capitalism be bypassed?**
- → The semi-periphery is the theoretical slot that later accommodates cases like South Korea: neither core nor locked-in periphery.

11. Conclusion: Shared Ground and Divergence (slide 40)

Keywords: common ground, self-reliance, dualism, contrasting meanings, different methods

Common ground (slide 40): both advocated **self-reliant national economic growth**; both employed **dualistic frameworks** (tradition/modernity; core/periphery); both addressed the unique challenges confronting countries in the "Third World".

Divergence: they diverged in their interpretations of underdevelopment — modernization and dependency theorists held contrasting views on what underdevelopment meant; and they had differing perspectives on the methods of achieving development.

→ **Memorise the punchline:** they agree on the *unit* (the nation-state and its autonomy) and on the *shape* of the problem (two opposed worlds), but disagree on whether underdevelopment is a starting line or a structural position created by the other world.

12. Quiz 1 Tip and Week 3 Preview (slides 39, 41)

Keywords: Kvangraven 2021, relevance today, South Korea and Indonesia, neoliberalism, developmental state

12.1 Quiz 1 Tip (slide 39)

Keywords: outdated?, still relevant?, strengths and limitations, today's global economy

Having covered what dependency theory says and how it explains underdevelopment, the quiz asks whether it is still relevant now. Read **Kvangraven (2021)** and prepare to answer:

- Why has dependency theory been criticised or considered outdated?
- Why does Kvangraven argue that it is still relevant?
- What do the examples of South Korea and Indonesia tell us about the strengths and limitations of dependency theory?
- Can dependency theory help us understand development in today's global economy?

12.2 Week 3 Preview (slide 41)

Keywords: neoliberalism, developmental state, market vs state

- **Week 3: Neoliberalism and the Developmental State.**
- Essential readings: Biebricher, T. (2018), 'Chapter 1' in *The Political Theory of Neoliberalism*; Carmody, P. (2019), 'Chapter 5' in *Development Theory and Practice in a Changing World*.
- Supplementary: **Harvey, D. (2007)** 'Neoliberalism as Creative Destruction'; **Wade, R.H. (2018)** 'The Developmental State: Dead or Alive?'.
- → The move: from the *international* structure of dependence (Week 2) to the *domestic* state-market relation (Week 3). The developmental state is the standard explanation of how South Korea and Indonesia escaped dependency.

13. One-Page Revision Spine

1. **Three vocabularies (slides 3–6):** First/Second/Third World (Cold War blocs); Developed/Developing (income) — 46 LDCs, Africa 33; Global North/South (structural

position). Underdevelopment (slide 7) is usually left implicitly defined, and the label determines the remedy.

2. **Cold War context (slide 11):** decolonisation + superpower competition made aid a question of which path newly independent states would follow.
3. **Modernization Theory six commitments (slide 12):** political + economic + social; progress and growth; evolutionary; tradition as a block; underdevelopment = rich–poor differences; development = imitation + foreign assistance.
4. **Varieties:** Lewis's dual economy, Hoselitz; Parsons's evolutionary universals (six features); political modernization = predictability through integration, depersonalisation, mediation, moderation.
5. **Rostow (1960) five stages:** traditional society → preconditions for take-off → take-off → road to maturity → age of mass consumption. Deeper claim (slide 23): mutually reinforcing sectors modernise *together* — development is a bundle, not one sector.
6. **Dependency Theory (Dos Santos 1970):** one economy conditioned by the development and expansion of another; exchange over production; the problem is *how the periphery is integrated*.
7. **Frank 2010:** underdevelopment is the historical product of past *and continuing* relations between satellite and metropole; unequal exchange; ISI.
8. **Mechanisms (slide 31):** colonialism; primitive accumulation; technological and financial dependency. **Mexico (slide 32):** the satellite → metropole chain at every level — independence changed the flag, not the export-oriented, foreign-dependent, elite-controlled structure.
9. **Rostow vs Frank:** lag vs relation; aid + policy vs changed terms of integration; catch-up possible vs structurally unfair. The **resource trap** (slides 36–37) is the cleanest test — domestic corruption vs locked-in raw-material export.
10. **World Systems Theory (Wallerstein, Amin):** one capitalist world system; core / semi-periphery / periphery; progress for some = regression for others; can capitalism be bypassed?
11. **Conclusion:** shared commitment to self-reliant growth and dualistic frameworks; divergence on *what underdevelopment means* and *how to achieve development*.
12. **Next:** Neoliberalism and the Developmental State (Week 3) — Biebricher (2018), Carmody (2019).